



Unit : 1

Consumer Equilibrium

Chapter 2 | Lecture 7

MCQ's

Which of these is not a property of indifference curve?

(a) Indifference curve slopes downwards

✓ (b) Indifference curve is concave to the origin

(c) Two indifference curves cannot intersect each other

(d) Higher indifference curve represents higher level of satisfaction

MCQ's

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(b) Indifference curve is concave to the origin

Concave

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MCQ's

Indifference curves are convex to the origin because of:

(a) Increasing MRS / MRT Concave PPC

(b) Diminishing MRS Convex

(c) Law of Diminishing Marginal Utility

(d) Law of Equi-Marginal Utility

MCQ's

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(a) Increasing MRS

(b) Diminishing MRS

(c) Law of Diminishing Marginal Utility

(d) Law of Equi-Marginal Utility

MCQ's

When we add up utility derived from consumption of all the units of the commodities, we get:

☒ (a) Total Utility

$$TU = U_1 + U_2 + U_3 + \dots + U_n$$

$$TU = \sum MU$$

(b) Initial utility

(c) Marginal Utility

(d) None of these

MCQ's

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MCQ's

Indifference curves are:

(a) Concave to the origin

(b) ☒ Convex to the origin

(c) Upward sloping straight line passing from the origin

(d) None of these

MCQ's

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(a) Concave to the origin

(b) Convex to the origin

↓ ANS

(c) Upward sloping straight line passing from the origin

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MCQ's

$$5 \rightarrow +1 \rightarrow 6$$

50utils 50utils = MU

If the consumption of an additional unit of a commodity causes no change in TU, then the resultant MU is

☒ (a) Zero

☐ (b) Positive

☐ (c) Negative

☐ (d) Constant

MCQ's

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(b) Positive

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MCQ's

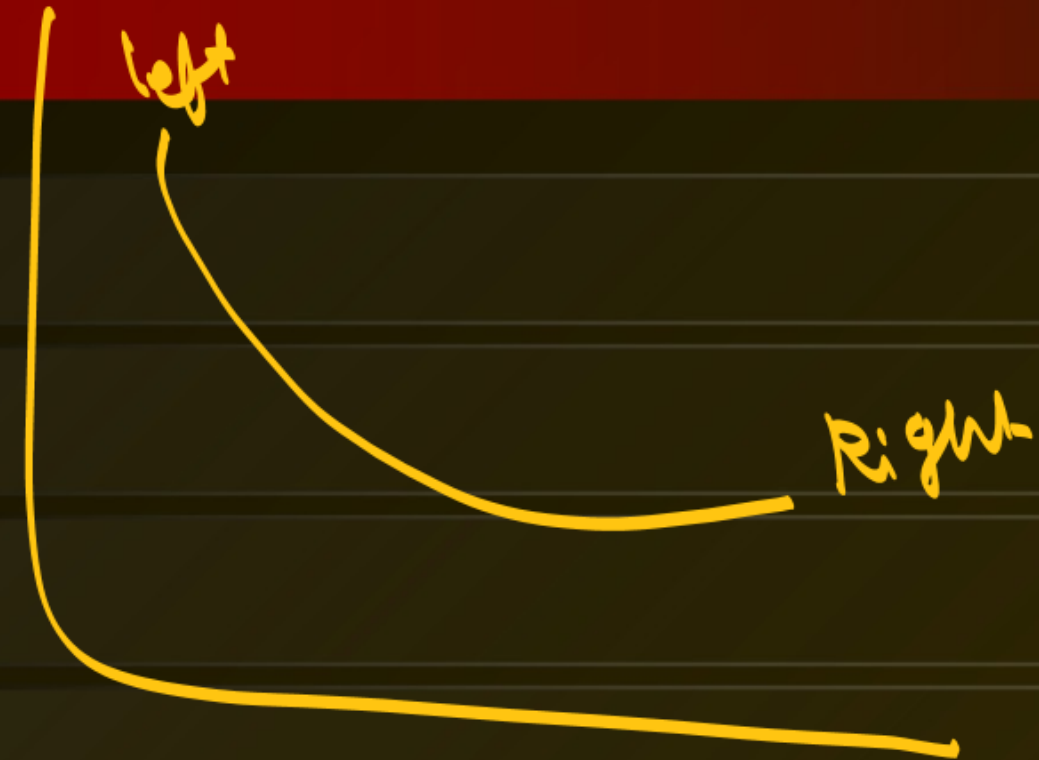
An indifference curve always

☒ (a) Slopes downwards from left to right

(b) Slopes upwards from left to right

(c) is parallel to the Y-axis

(d) is parallel to the X-axis



MCQ's

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MCQ's

Utility

(a) Differs from person to person

(b) Differs from time to time

(c) Differs from product to product

(d) All of these

MCQ's

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- (b) Differs from time to time
- (c) Differs from product to product
- (d) All of these

MCQ's

According to one of the assumption of Law of Diminishing Marginal Utility, there should be between the consumption of one unit and another unit.

(a) Equal time gap

☒ (b) No time gap

(c) Long time gap

(d) Any of these

MCQ's

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MCQ's

The farther the indifference Curve is from the origin, then

(a) Higher is the satisfaction level ✓

(b) Lower is the satisfaction level ✗

(c) Same satisfaction level will be obtained ✗

(d) Nothing can be said about satisfaction ✗

MCQ's

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- (a) Higher is the satisfaction level
- (b) Lower is the satisfaction level
- (c) Same satisfaction level will be obtained
- (d) Nothing can be said about satisfaction

MCQ's

The consumer is in equilibrium when Marginal Utility from a Commodity equals

(a) Demand for that Commodity

(b) Supply of that Commodity

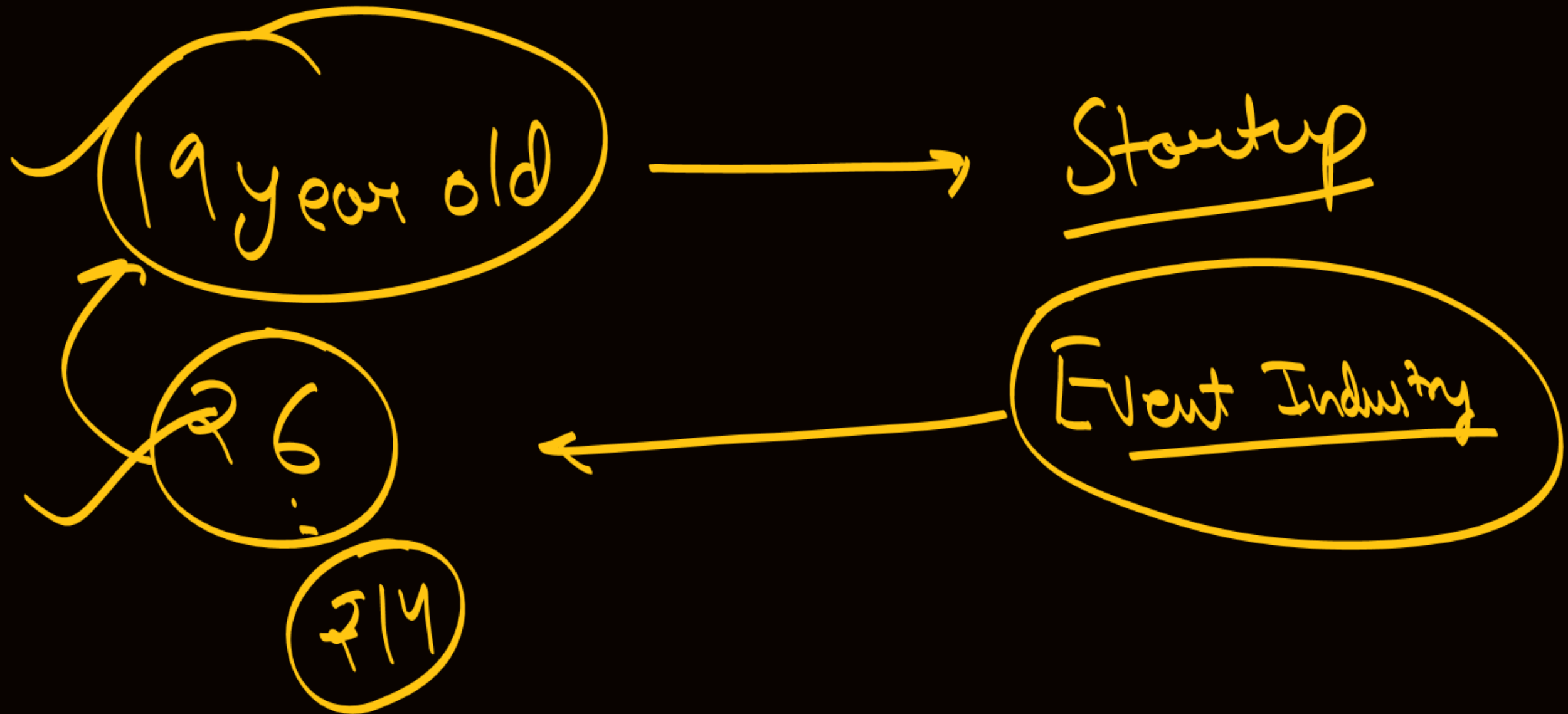
✓ (c) Price of the Commodity

(d) All of these

Single Commodity $\rightarrow$ $\frac{MU_x}{P_x} = 10$ $\frac{MU_y}{P_y} = 10$ $\rightarrow$ Max Satisfaction
C.E.

Double Commodity case $\rightarrow$ Product X Product Y
 $\frac{MU_x}{P_x} = \frac{MU_y}{P_y}$
C.E. $\rightarrow$ $MU_x = MU_y$

Book Review



MCQ's

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(b) Supply of that Commodity

(c) Price of the Commodity

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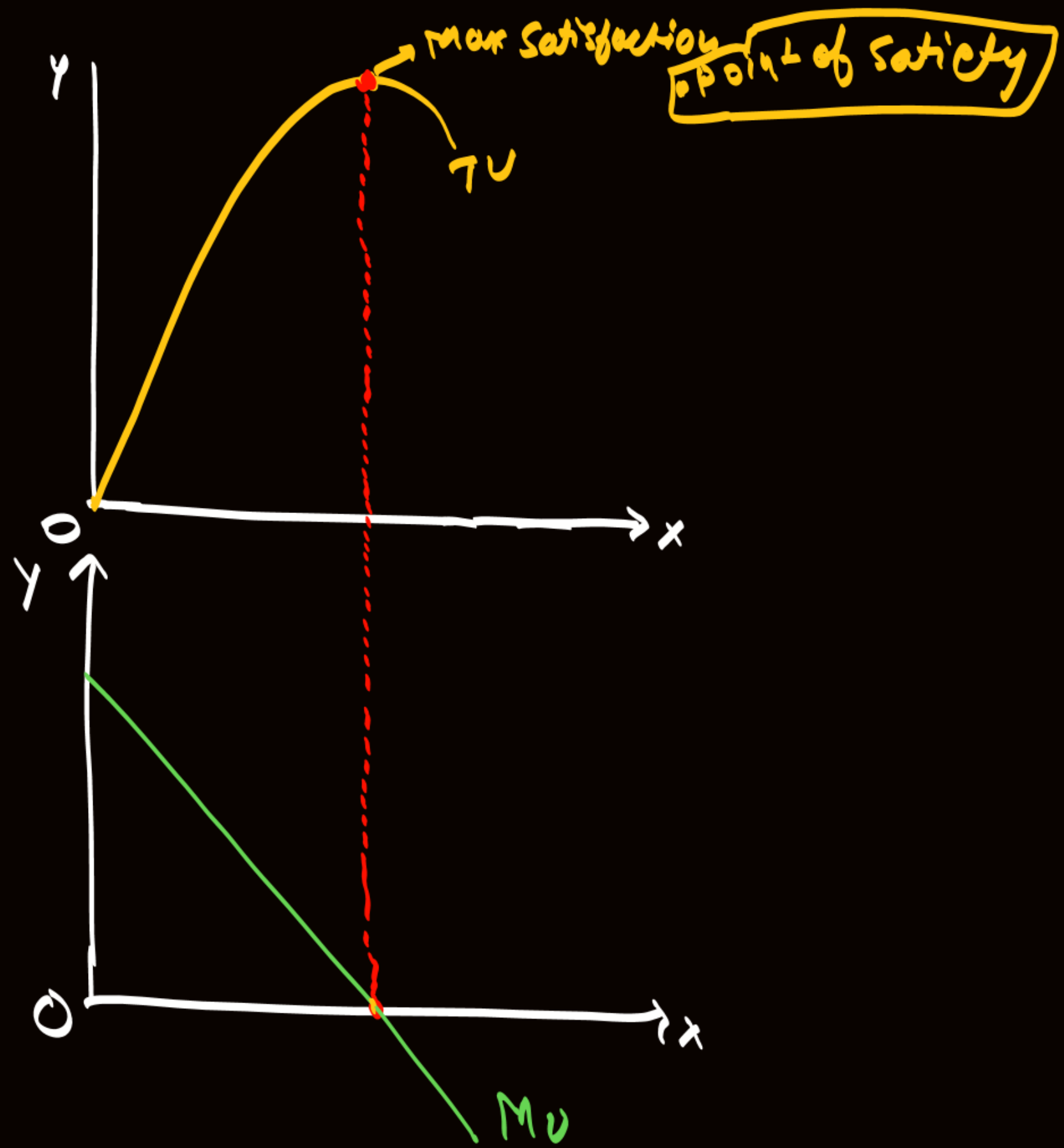
Consumption should continuous

Gaps → Recharge / Rest

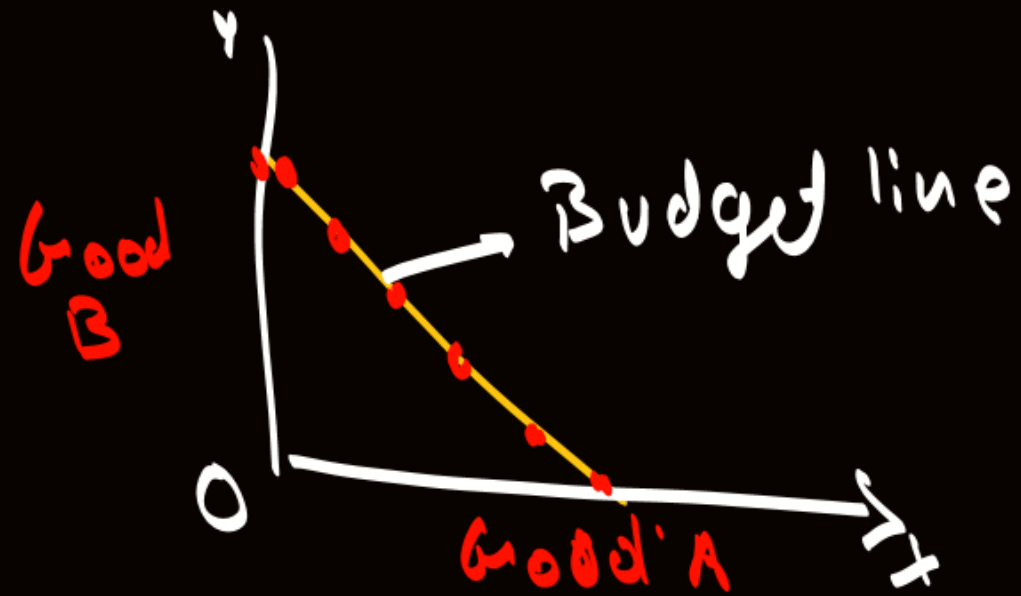


$$\frac{TU = \text{Same}}{x}$$

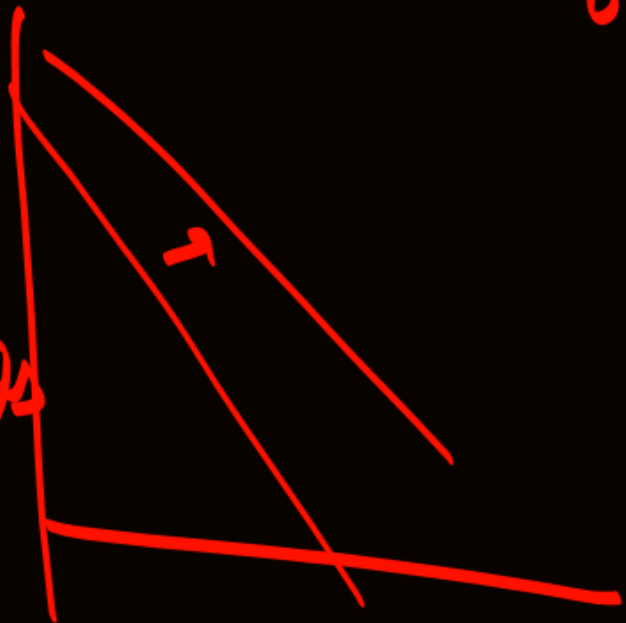
$MU \oplus$ $TU \uparrow$
 $MU \ominus$ $TU \downarrow$



It is a Graphical Representation of all the possible combinations of two goods which a consumer can purchase with given Income and Price of the commodities.



- Income $\uparrow$
- changes in Price $\downarrow$ $\rightarrow$ goods



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